Report To Shareholders
Management's Discussion and Analysis

Financial Overview

Financial and operational highlights include:

- Adjusted earnings per share of $0.30 compared to $0.84 last year, as high wheat and fuel costs outpaced price increases
- Stabilization of commodity markets and pricing expected to improve earnings in the second half of 2008

Note: *Adjusted earnings per share measures are defined as earnings per share before restructuring and other related costs.*

High commodity prices continued to have a significant impact on the Company's margins and financial results. The average market price for wheat, in the quarter, was 116% greater than the prior year. Management believes these effects, while material, are short-term with improvements to come in the second half of the year as markets stabilize and the Company continues to pass on costs by way of price increases to offset the effects of commodity inflation.

Sales for the second quarter increased 16.4% to $437.4 million compared to the same period last year due to higher selling prices and contributions from acquisitions. Excluding acquisitions, sales increased by 8.9% compared to last year.

Earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings") were $12.4 million for the second quarter compared to $34.0 million last year. High wheat, fuel and other input costs compressed margins as price increases implemented earlier in the year were not sufficient to cover these rapid cost increases. Management anticipates that a decrease in wheat prices from new crops, due to be harvested in August, and improved supplies will lower costs toward the end of the year and restore margins. As the rest of the year progresses, any further inflationary increases, such as energy, or unanticipated increases in the cost of wheat will be managed by further price increases.

Net earnings before restructuring and other related costs for the quarter were $7.5 million ($0.30 per share), compared to $21.2 million ($0.84 per share) last year. Year-to-date earnings per share, on a comparable basis, were $0.81 compared to $1.60 last year.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	Second Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Net Earnings	**$ 6.5**	$ 21.2	(69.2)%	**$ 18.7**	$ 39.1	(52.1)%
Restructuring and other related costs, net of tax	**1.0**	—	— %	**1.9**	1.5	26.9 %
Net earnings before restructuring and other related costs (i)	**$ 7.5**	$ 21.2	(64.5)%	**$ 20.7**	$ 40.6	(49.2)%
Adjusted EPS (i)	**$ 0.30**	$ 0.84	(64.5)%	**$ 0.81**	$ 1.60	(49.2)%

(i) *These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	Second Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Fresh Bakery	**$ 12.5**	$ 25.8	(51.7)%	**$ 25.1**	$ 47.8	(47.4)%
Frozen Bakery	**(0.1)**	8.2	(100.7)%	**6.8**	16.2	(58.0)%
	$ 12.4	$ 34.0	(63.5)%	**$ 31.9**	$ 64.0	(50.1)%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the second quarter increased by 17.8% to $287.6 million compared to $244.2 million last year, largely due to price increases and contributions from acquisitions partly offset by reduced volumes. Excluding acquisitions, sales increased by 11.5% compared to last year.

Adjusted Operating Earnings for the quarter were $12.5 million compared to $25.8 million last year. This decline was driven by margin compression as price increases for fresh bread and pasta were not enough to cover the increase in wheat and other commodity costs. In addition, costs related to marketing and innovation in Fresh Bakery were higher than last year by 33.6%. During the quarter, the Company launched its *Smart* 100% Whole Grain Wheat bread nationally and also launched *Smart* snack cakes in Eastern Canada.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales increased by 13.8% to $149.8 million from $131.6 million last year. This was a result of increased prices and contributions from acquisitions, partly offset by translation difference related to the weaker U.S. dollar. Excluding acquisitions, sales increased by 4.0% compared to last year.

Adjusted Operating Earnings for the quarter were a loss of $0.1 million compared to earnings of $8.2 million last year as a result of lower earnings in the North American frozen bakery operations, driven by wheat and other inflationary cost increases, including energy, that were not fully offset by price increases. These effects were partly offset by cost reductions related to operational and sales mix improvements. Earnings in the U.K. operations continue to track ahead of last year, benefiting from the contribution of acquisitions in new product categories. Bagel growth rates were slower in the first half of the year as production was curtailed in the Company's U.K. bagel plant due to an oven fire. Growth rates are expected to improve in the second half of the year as production rates and advertising and promotion activities will be restored in July 2008.

The North American frozen bakery operations are implementing changes to increase capacity utilization and improve margins. This includes the closure of a bagel facility in Toronto and the transfer of production to other regional plants. An expansion at the Company's Roanoke Virginia plant is also expected to be commissioned through the second half of 2008, improving product costs and reducing freight and distribution costs to supply regional customers.

Gross Margin

Gross margin decreased by $16.1 million to $64.0 million from $80.1 million last year. Margin compression was driven by the increase in wheat prices, fuel and general inflation.

SG&A

Selling, general and administrative expenses increased 12.0% to $51.6 million compared to $46.1 million for the prior year. This increase was primarily driven by increased costs related to investments in innovation and marketing new products.

Other Income

Other income for the second quarter was $1.5 million, mainly due to insurance proceeds which partially reimburse the Company for excess operating costs incurred as a result of an oven fire at the U.K. bakery.

Restructuring and Other Related Costs

During the second quarter of 2008, the Company recorded a charge for restructuring and other related costs of $1.4 million (2007: $nil) and year-to-date, restructuring charges were $2.7 million (2007: $2.2 million). The restructuring costs in the quarter are related to the planned closure of a bagel facility in Toronto that is scheduled to occur in the second half of 2008.

Cash Flow and Financing

Cash flow from operating activities was $13.2 million for the second quarter compared to $37.2 million last year. The primary cause of this decrease is reduced net earnings and an increased investment in working capital. The main drivers for the increase in working capital are accounts receivable due to increased sales and inventory due to higher wheat costs. Year-to-date cash flow from operating activities was $13.8 million compared to $57.2 million last year.

Interest expense for the second quarter increased to $2.1 million compared to $1.4 million last year. The variance was driven by a decline in interest income generated by the Company's five-year cross-currency swap, which matured and was settled on January 1, 2008. This settled swap generated interest income of $1.3 million in the second quarter of 2007. The decline in interest income was partially offset by a decrease in interest expense as a result of reduced debt levels. Year-to-date interest expense was $3.8 million compared to $2.6 million last year.

The Company's debt facility will expire in December 2008 and is expected to be renewed in the third quarter.

Capital expenditures on plant and equipment for the second quarter were $17.2 million compared to $30.9 million last year.

Taxes

The Company's effective tax rate increased to 37.4% compared to 34.7% last year. This increase in rates was primarily driven by a change in the proportion of earnings attributable to higher tax rate jurisdictions partly offset by a decrease in the Canadian Federal tax rates enacted in December 2007.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the six interim periods ended June 30, 2008 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2008**	$ 382,869	**$ 437,418**			**$ 820,287**
	2007	358,337	375,723	$ 385,849	$ 393,270	1,513,179
Net earnings	**2008**	$ 12,211	**$ 6,538**			**$ 18,749**
	2007	17,910	21,225	$ 21,087	$ 23,529	83,751
Earnings per share						
Basic EPS	**2008**	$ 0.48	**$ 0.26**			**$ 0.74**
	2007	0.70	0.84	$ 0.83	$ 0.93	3.30
Adjusted EPS [(i) (ii)]	**2008**	$ 0.52	**$ 0.30**			**$ 0.81**
	2007	0.76	0.84	$ 0.83	$ 0.88	3.31
Diluted EPS	**2008**	$ 0.48	**$ 0.26**			**$ 0.74**
	2007	0.70	0.84	$ 0.83	$ 0.93	3.30

(i) *Earnings per share before restructuring and other related costs and certain non-recurring tax adjustments.*
(ii) *Does not add due to rounding.*

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

In January 2006, the Accounting Standards Board (the "AcSB") announced its decision to require all publicly accountable enterprises to report under International Financial Reporting Standards ("IFRS") for years beginning on or after January 1, 2011. As a result, financial reporting by Canadian publicly accountable enterprises will change significantly from current Canadian GAAP to IFRS.

On February 13, 2008, the AcSB confirmed that publicly accountable enterprises will be required to use IFRS, as issued by the International Accounting Standards Board, unless modifications or additions to the requirements of IFRS are issued by the AcSB. IFRS must be adopted for interim and annual financial statements related to fiscal years beginning on or after January 1, 2011, with restatement of comparative periods.

The Company is currently assessing the future impact of these new standards on its consolidated financial statements.

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031 "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with international accounting standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

In 2006, the Accounting Standards Board issued CICA Handbook Section 3862 "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861 "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008.

Other Matters

On July 23, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on October 1, 2008 to shareholders of record on September 8, 2008. Unless indicated otherwise, by the corporation, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from

what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

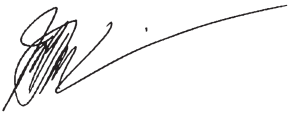
Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully in the Company's Management's Discussion and Analysis for the year ended December 31, 2007 which is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United Kingdom.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

July 24, 2008

Consolidated Balance Sheets

In thousands of Canadian dollars	As at June 30, 2008	As at June 30, 2007	As at December 31, 2007
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 8,149**	$ 10,414	$ 2,847
Accounts receivable (Note 3)	**89,722**	61,358	68,464
Inventories (Note 4)	**58,826**	51,406	47,036
Future tax asset – current	**19,367**	4,968	5,937
Prepaid expenses	**8,167**	3,786	4,798
Other current assets (Note 5)	**—**	74,158	80,586
	$ 184,231	$ 206,090	$ 209,668
Property and equipment	**412,036**	385,978	396,623
Goodwill	**401,531**	360,486	371,066
Other intangibles	**13,356**	5,035	12,870
Future tax asset – non-current	**—**	379	—
Other long-term assets	**10,533**	1,905	7,955
	$ 1,021,687	$ 959,873	$ 998,182
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 10,092**	$ 10,667	$ 9,845
Accounts payable and accrued charges	**188,244**	172,551	177,695
Due to Maple Leaf Foods Inc.	**6,213**	8,855	5,408
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**18,555**	20,822	15,078
Current portion of long-term debt	**90,272**	10,843	107,644
	$ 314,901	$ 225,263	$ 317,195
Long-term debt	**—**	82,066	5
Future tax liability – non-current	**33,492**	29,896	33,522
Other long-term liabilities	**13,317**	6,526	12,417
Shareholders' equity (Note 7)	**659,977**	616,122	635,043
	$ 1,021,687	$ 959,873	$ 998,182

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except share amounts *(Unaudited)*	Three months ended June 30, 2008	Three months ended June 30, 2007	Six months ended June 30, 2008	Six months ended June 30, 2007
Sales	**$ 437,418**	$ 375,723	**$ 820,287**	$ 734,060
Cost of goods sold	**373,381**	295,616	**691,052**	579,423
Gross margin	**$ 64,037**	$ 80,107	**$ 129,235**	$ 154,637
Selling, general and administrative expenses	**51,639**	46,112	**97,293**	90,681
Earnings from operations before restructuring and other related costs	**$ 12,398**	$ 33,995	**$ 31,942**	$ 63,956
Restructuring and other related costs (Note 9)	**(1,419)**	—	**(2,692)**	(2,192)
Earnings from operations	**$ 10,979**	$ 33,995	**$ 29,250**	$ 61,764
Other income (expense) (Note 10)	**1,541**	(93)	**1,575**	409
Earnings before interest and income taxes	**$ 12,520**	$ 33,902	**$ 30,825**	$ 62,173
Interest expense	**2,077**	1,375	**3,835**	2,630
Earnings before income taxes	**$ 10,443**	$ 32,527	**$ 26,990**	$ 59,543
Income taxes	**3,905**	11,302	**8,241**	20,408
Net earnings	**$ 6,538**	$ 21,225	**$ 18,749**	$ 39,135
Earnings per share – basic and diluted	**$ 0.26**	$ 0.84	**$ 0.74**	$ 1.54
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Comprehensive Income

In thousands of Canadian dollars *(Unaudited)*	Three months ended June 30,		Six months ended June 30,	
	2008	2007	**2008**	2007
Net earnings	**$ 6,538**	$ 21,225	**$ 18,749**	$ 39,135
Other comprehensive income (loss) (Note 8)				
Change in accumulated foreign currency translation adjustment	**(1,389)**	(9,326)	**10,309**	(10,041)
Change in unrealized derivative loss on cash flow hedges	**595**	2,032	**(1,074)**	1,853
	(794)	(7,294)	**9,235**	(8,188)
Comprehensive income	**$ 5,744**	$ 13,931	**$ 27,984**	$ 30,947

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars, except share amounts *(Unaudited)*	Six months ended June 30,	
	2008	2007
Retained earnings, beginning of period	**$ 528,327**	$ 450,733
Net earnings	**18,749**	39,135
Inter-company acquisition	**—**	(57)
Dividends declared ($0.12 per share; 2007: $0.12 per share)	**(3,050)**	(3,050)
Retained earnings, end of period	**$ 544,026**	$ 486,761

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Three months ended June 30, **2008**	Three months ended June 30, 2007	Six months ended June 30, **2008**	Six months ended June 30, 2007
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 6,538**	$ 21,225	**$ 18,749**	$ 39,135
Add (deduct) items not affecting cash:				
Depreciation and amortization	**14,182**	12,458	**27,001**	24,742
Future income taxes	**(1,350)**	(1,039)	**(423)**	(69)
Loss (gain) on sale of property and equipment	**188**	105	**173**	(385)
Changes in restructuring and other related costs	**1,175**	—	**1,917**	—
Other	**(207)**	(535)	**1,305**	(291)
Change in operating working capital	**(7,285)**	4,988	**(34,905)**	(5,982)
	$ 13,241	$ 37,202	**$ 13,817**	$ 57,150
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(3,050)**	(3,050)
Net increase (decrease) in long-term debt	**13,371**	(3,432)	**(17,377)**	6,026
Settlement of cross-currency interest rate swap with Maple Leaf Foods Inc.	**—**	—	**80,586**	—
	$ 11,846	$ (4,957)	**$ 60,159**	$ 2,976
Investing activities				
Additions to property and equipment	**(17,242)**	(30,858)	**(25,870)**	(42,525)
Proceeds from sale of property and equipment	**517**	126	**532**	726
Acquisition of business, net of cash acquired (Note 12)	**(8)**	(245)	**(43,544)**	(8,234)
Change in intangible assets	**160**	(117)	**(39)**	(86)
	$ (16,573)	$ (31,094)	**$ (68,921)**	$ (50,119)
Increase (decrease) in cash and cash equivalents	**8,514**	1,151	**5,055**	10,007
Net cash and cash equivalents, beginning of period	**(10,457)**	(1,404)	**(6,998)**	(10,260)
Net cash and cash equivalents, end of period	**$ (1,943)**	$ (253)	**$ (1,943)**	$ (253)

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2007. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2007, except for the following:

Accounting changes

(i) In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with international financial reporting standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(ii) In 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 6.

(iii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 6.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At June 30, 2008, trade accounts receivable being serviced under this program amounted to $70.0 million (2007: $70.0 million).

4. Inventories

	As at June 30,	
	2008	2007
Raw materials	**$ 13,057**	$ 10,825
Finished goods	**23,502**	20,081
Packaging	**9,346**	8,387
Spare parts	**12,921**	12,113
	$ 58,826	$ 51,406

5. Other Current Assets

On January 2, 2008, the Company's five-year cross-currency interest rate swap with Maple Leaf Foods matured and was settled for $80.6 million resulting in a decrease in other current assets and long-term debt.

6. Financial Instruments and Risk Management Activities

CAPITAL

The Company's objective is to maintain a simple and cost-effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. The Company has established clearly defined financial objectives including targets for return on net assets (11.5%) and compound annual earnings per share growth (15%). In allocating capital to investments to support these goals, the Company establishes internal hurdle return rates for all capital and acquisition initiatives. Capital projects are generally financed primarily with senior debt.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company maintains its primary credit ratios and leverage at levels that provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation and restructuring and other related costs and earnings before interest, income taxes, depreciation and restructuring and other related costs to interest expense. The Company's primary credit facility with Maple Leaf, which is unsecured, is subject to certain financial covenants. As at June 30, 2008, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a stable dividend distribution based on sustainable net earnings.

In the six month period ended June 30, 2008, total equity increased by $24.9 million to $660.0 million. During the same period, total debt net of cash decreased by $22.4 million to $92.2 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Designated as held for trading
Accounts receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments (i)	

(i) *The Company has derivative instruments, from time to time, that are classified as held for trading and designated as cash flow hedges.*

Financial assets and liabilities designated as held for trading and all other derivative financial instruments are recorded at fair value.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. The carrying value of long-term debt as at June 30, 2008 is $90.3 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 37% of consolidated accounts receivable at June 30, 2008 and the two largest customers comprise approximately 31% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	As at June 30, 2008				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	Total
Non-derivative financial liabilities					
Bank indebtednesss	$ 10,092	$ —	$ —	$ —	$ 10,092
Accounts payable and accrued charges	188,244	—	—	—	188,244
Due to Maple Leaf	6,213	—	—	—	6,213
Dividends payable	1,525	—	—	—	1,525
Debt facilities	90,272	—	—	—	90,272
Total	$ 296,346	$ —	$ —	$ —	$ 296,346

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities, managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

MARKET RISK

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. The Company has no significant interest bearing assets.

At June 30, 2008, the Company had variable rate debt of $100.4 million with a weighted average interest rate of 4.0%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at June 30, 2008, the amount sold pursuant to these programs was $70.0 million at a weighted average interest rate of 3.9%. With respect to interest rate, foreign currency and commodity price market risk, sensitivity analyses discussing the effects of reasonably possible changes in relevant risk variables on net earnings and other comprehensive income on an after-tax basis are disclosed below. The periodic effects are determined by relating the reasonably possible changes in the risk variables to the balance of financial instruments at the reporting date. It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

The Company uses interest swaps to mitigate the risk from variable cash flows by effectively converting certain variable rate borrowings to fixed rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totalled $70.0 million at June 30, 2008 (2007: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three month bankers' acceptance rates. These swaps had a negative fair value of $4.1 million at June 30, 2008 (2007: negative fair value of $0.9 million) of which $0.8 million is recorded in accounts payable and accrued charges and $3.3 million in other long-term liabilities at June 30, 2008.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges. As at June 30, 2008, the Company did not have any foreign currency forward contracts designated in formal hedging relationships and there were foreign exchange forward contracts outstanding with a fair value of less than $0.1 million.

It is estimated that, all else constant, a hypothetical 10% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $1.3 million, a change in net earnings after-tax of $0.9 million and no change to other comprehensive income.

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments by designated hedge type are shown below:

	2008			2007		
	Notional	Fair Value		Notional	Fair Value	
	Amount	Asset	Liability	Amount	Asset	Liability
Cash flow hedges						
Interest rate swaps	**$70,000**	**$ —**	**$ 4,053**	$70,000	$ —	$ 881
Foreign exchange forward contracts	—	—	—	US$19,889	2,162	—
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts	**US$13,417**	**$ 19**	**$ —**	US$11,972	$ 1,225	$ —
Total		**$ 19**	**$ 4,053**		$ 3,387	$ 881
Current		**$ 19**	**$ 774**		$ 3,387	$ 223
Non-current		**—**	**3,279**		—	658
Total		**$ 19**	**$ 4,053**		$ 3,387	$ 881

For the six months ended June 30, 2008 and 2007, the amount of hedge ineffectiveness recognized in earnings was not material.

7. Shareholders' Equity

Shareholders' equity consists of the following:

	As at June 30,	
	2008	2007
Share capital (2008 and 2007: 25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**544,026**	486,761
Accumulated other comprehensive loss (Note 8)	**(27,014)**	(13,604)
	$ 659,977	$ 616,122

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at June 30, 2008, there were no issued and outstanding preference shares.

8. Accumulated Other Comprehensive Loss

Accumulated other comprehensive loss consists of the following:

	Three months ended June 30,	
	2008	2007
Balance at the beginning of the period	**$ (36,249)**	$ (5,254)
Transition adjustment as of January 1, 2007	**—**	(162)
Adjusted balance at the beginning of the period	**$ (36,249)**	$ (5,416)
Change in accumulated foreign currency translation adjustment [(i)]	**10,309**	(10,041)
Change in unrealized derivative loss on cash flow hedges – net [(ii)]	**(1,074)**	1,853
Other comprehensive income (loss) for the period	**$ 9,235**	$ (8,188)
Accumulated other comprehensive loss as at June 30	**$ (27,014)**	$ (13,604)

(i) *Change in accumulated foreign currency translation adjustment is net of tax of $nil for the six months ended June 30, 2008 (2007: $nil). The change for the quarter of $1.4 million is net of tax of $nil (2007: change of $9.3 million, net of tax of $nil).*

(ii) *Change in unrealized derivative loss on cash flow hedges is net of tax of $0.4 million for the six months ended June 30, 2008 (2007: $0.8 million). The change for the quarter of $0.6 million is net of tax of $0.3 million (2007: change of $2.0 million, net of tax of $0.9 million).*

The Company estimates that $0.5 million of net derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the six months ended June 30, 2008, a loss of approximately $0.2 million, net of tax of $0.2 million (a loss of $0.1 million, net of tax of $0.1 million for the quarter), was charged to income from accumulated other comprehensive loss and is included in the net change for the period.

9. Restructuring and Other Related Costs

During the second quarter of 2008, the Company recorded restructuring and other related costs of $1.4 million ($1.0 million after-tax) the majority of which were related to accelerated depreciation on the closure of a bagel facility in Toronto, Ontario. In the second quarter 2007, the Company did not record any restructuring and other related costs.

During the first quarter of 2008, the Company recorded restructuring and other related costs of $1.3 million ($0.9 million after-tax), the majority of which are related to the closure of a bagel facility in Toronto, Ontario.

The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2008 as well as the related liability:

	Severance	Site Closing and Other	Accelerated Depreciation	Retention	Total
Balance at December 31, 2007	$ 2,822	$ 809	$ —	$ 55	$ 3,686
Charges	322	166	785	—	1,273
Cash payments	—	(531)	—	—	(531)
Non-cash items	—	—	(785)	—	(785)
Balance at March 31, 2008	$ 3,144	$ 444	$ —	$ 55	$ 3,643
Charges	26	645	748	—	1,419
Cash payments	(207)	—	—	—	(207)
Non-cash items	—	—	(748)	—	(748)
Balance at June 30, 2008	**$ 2,963**	**$ 1,089**	**$ —**	**$ 55**	**$ 4,107**

10. Other Income

	Three months ended June 30,		Six months ended June 30,	
	2008	2007	**2008**	2007
Proceeds from insurance claim	**$ 1,716**	$ —	**$ 1,716**	$ —
Gain (loss) on sale of property and equipment	**(188)**	(105)	**(173)**	385
Other	**13**	12	**32**	24
	$ 1,541	$ (93)	**$ 1,575**	$ 409

11. Pensions

During the quarter, the Company recorded $2.6 million related to net benefit plan expense (2007: $2.7 million). For the first six months of 2008, the Company recorded $5.1 million in net benefit plan expense (2007: $5.2 million).

12. Acquisitions

On January 29, 2008 the Company acquired the shares of Aliments Martel Inc. ("Martel"), a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $43.5 million plus contingent consideration of up to $22.6 million based on financial performance over the next three years following the acquisition date. The Company has allocated $18.8 million of the purchase price to the net identifiable assets of Martel at the acquisition date and $24.7 million to goodwill. The Company has not yet finalized the purchase equation for this acquisition.

13. Supplemental Cash Flow Information

	Three months ended June 30,		Six months ended June 30,	
	2008	2007	**2008**	2007
Interest paid	**$ 2,115**	$ 1,237	**$ 3,793**	$ 2,672
Net income taxes paid	**9,829**	9,059	**19,226**	22,147

14. Segmented Financial Information

The Company's operations are classified into two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	Three months ended June 30,		Six months ended June 30,	
(Unaudited)	**2008**	2007	**2008**	2007
Sales				
Fresh Bakery	**$ 287,638**	$ 244,155	**$ 524,862**	$ 463,341
Frozen Bakery	**149,780**	131,568	**295,425**	270,719
	$ 437,418	$ 375,723	**$ 820,287**	$ 734,060
Earnings from operations before restructuring and other related costs				
Fresh Bakery	**$ 12,457**	$ 25,769	**$ 25,146**	$ 47,770
Frozen Bakery	**(59)**	8,226	**6,796**	16,186
	$ 12,398	$ 33,995	**$ 31,942**	$ 63,956
Additions to property and equipment				
Fresh Bakery	**$ 9,605**	$ 18,574	**$ 11,173**	$ 25,576
Frozen Bakery	**7,636**	12,284	**14,697**	16,949
	$ 17,241	$ 30,858	**$ 25,870**	$ 42,525
Depreciation and amortization				
Fresh Bakery	**$ 7,472**	$ 6,504	**$ 13,852**	$ 12,706
Frozen Bakery	**6,710**	5,954	**13,149**	12,036
	$ 14,182	$ 12,458	**$ 27,001**	$ 24,742

	As at June 30,		As at December 31,
	2008	2007	2007
	(Unaudited)	*(Unaudited)*	
Total assets			
Fresh Bakery	**$ 465,250**	$ 398,774	$ 400,518
Frozen Bakery	**521,853**	509,503	573,772
Non-allocated assets	**34,584**	51,596	23,892
	$ 1,021,687	$ 959,873	$ 998,182
Goodwill			
Fresh Bakery	**$ 155,616**	$ 130,884	$ 131,256
Frozen Bakery	**245,915**	229,602	239,810
	$ 401,531	$ 360,486	$ 371,066